

VIA EMAIL (rule-comments@sec.gov)

November 1, 2024

Ms. Vanessa Countryman
Secretary
Securities and Exchange Commission
100 F Street, NE
Washington, DC 20549-1090

Re: File No. 10-242
24X National Exchange LLC: Notice of Filing of Application for Registration as
a National Securities Exchange

Dear Ms. Countryman:

24X National Exchange LLC (“24X”) filed an application with the Securities and Exchange Commission (“Commission” or “SEC”) to register as a national securities exchange. On February 27, 2024, the Commission published the 24X Form 1 for public comment.¹ On May 31, 2024, the SEC instituted proceedings to determine whether to grant or deny the 24X application for registration as a national securities exchange (“OIP”).² Commenters submitted six comment letters in response to the OIP.³ On August 21, 2024, 24X submitted a letter responding to the topics raised in the OIP and comment letters submitted in response to the OIP.⁴ On August 21, 2024, 24X submitted Amendment No. 1 to its Form 1, which was published by the SEC on August 27, 2024.⁵ On August 30, 2024, the SEC extended the time for conclusion of the proceedings for 90 days.⁶ During the extension of time, commenters submitted three more comment letters in response to the 24X Form 1.⁷ This letter responds to those three comment letters. In addition, on October 23, 2024, 24X submitted Amendment No. 2 to its Form 1, which was published by the SEC on October 24, 2024.⁸ 24X urges the Commission to approve its Form 1 expeditiously.

¹ Securities Exchange Act Rel. No. 99614 (Feb. 27, 2014), 89 Fed. Reg. 15621 (Mar. 4, 2024).

² Securities Exchange Act Rel. No. 100254 (May 31, 2024), 89 Fed. Reg. 48466 (June 6, 2024) (“OIP”).

³ Letters to Vanessa Countryman, Secretary, SEC, from Richard Montone, JD/MBA Class of 2025 (June 26, 2024); Ellen Greene, Managing Director, Equities and Options Market Structure, SIFMA (June 27, 2024); Benjamin L. Schiffrin, Director of Securities Policy, Better Markets, Inc. (June 27, 2024); Chris Nagy, Research Director, and Tyler Gellash, President and CEO, Healthy Markets Association (June 28, 2024) (“Healthy Markets Letter”); Jeffrey Pasquerella, Chief Legal Officer, DriveWealth, LLC (June 28, 2024) (“DriveWealth Letter”); and Joanna Mallers, Secretary, FIA Principal Traders Group (July 26, 2024). The comment letters submitted in response to the 24X Form 1 are available at <https://www.sec.gov/comments/10-242/10-242.htm>.

⁴ Letter to Vanessa Countryman, Secretary, SEC, from David Sassoon, General Counsel, 24X (Aug. 21, 2024).

⁵ Securities Exchange Act Rel. No. 100839 (Aug. 27, 2024), 89 Fed. Reg. 71471 (Sept. 3, 2024).

⁶ Securities Exchange Act Rel. No. 100884 (Aug. 30, 2024), 89 Fed. Reg. 72917 (Sept. 6, 2024).

⁷ Letters to Vanessa Countryman, Secretary, SEC, from Patrick Blonien, Carnegie Mellon University, and Alexander Ober, Rice University (Sept. 25, 2024) (“Blonien/Ober Letter”); from John Ramsay, Chief Market Policy Officer, Investors Exchange LLC (Oct. 9, 2024) (“IEX Letter”); and Joanna Mallers, Secretary, FIA Principal Traders Group (October 11, 2024) (“FIA Letter”). The comment letters submitted in response to the 24X Form 1 are available at <https://www.sec.gov/comments/10-242/10-242.htm>.

⁸ Securities Exchange Act Rel. No. 101431 (Oct. 24, 2024).

A. 24X Trading Session

1. 24x5 Trading

Some commenters have raised concerns about 24X's proposed increase in exchange trading hours to include the overnight hours, weekends and holidays, and its implications for the market.⁹ With Amendment No. 2 to its Form 1, 24X has addressed this concern by proposing a more incremental approach to the 24X Market Session. 24X amended its application to limit the 24X Market Session hours to the overnight hours during the week; the 24X Market Session would not include weekends or holidays. Specifically, 24X proposes to define the 24X Market Session to mean:

(i) the time between 8:00 p.m. Eastern Time on Sunday and 4:00 a.m. Eastern Time on Monday, unless Monday is not a U.S. Business Day, (ii) the time between 8:00 p.m. Eastern Time on Monday and 4:00 a.m. Eastern Time on Tuesday, unless Tuesday is not a U.S. Business Day, (iii) the time between 8:00 p.m. Eastern Time on Tuesday and 4:00 a.m. Eastern Time on Wednesday, unless Wednesday is not a U.S. Business Day, (iv) the time between 8:00 p.m. Eastern Time on Wednesday and 4:00 a.m. Eastern Time on Thursday, unless Thursday is not a U.S. Business Day, and (v) the time between 8:00 p.m. Eastern Time on Thursday and 4:00 a.m. Eastern Time on Friday, unless Friday is not a U.S. Business Day; provided, however, it shall not include any trading pauses as described in Rule 11.15(c).

With this change, 24X is taking a similar incremental approach to increased trading hours as the markets have previously taken, and the SEC has approved, with regard to the pre-market and post-market trading sessions.

Limiting trading in the 24X Market Session to the overnight hours during the week also addresses the cost concerns related to the introduction of the 24X Market Session raised by some commenters.¹⁰ The revised approach eliminates any additional costs related to trading on weekends and holidays. The remaining potential costs reflect the incremental costs associated with innovative change provided by the 24X Market Session. 24X does not believe that costs related to innovation should be the basis for the Commission to determine that an exchange application does not comply with the Exchange Act. The Commission did not prevent the expansion of trading from regular trading hours to the pre-market and post-market trading sessions based on the exact same type of increased costs that would be related to the 24X Market Session. In addition, many market participants are already trading overnight on ATSS or otherwise and, therefore, the introduction of overnight trading on an exchange would only involve incremental new costs. Furthermore, with regard to the expansion of the SIPs' hours of operation, the national market system plans approved by the Commission have a process for determining the cost for the expansion in the hours of trading. The direct costs related to

⁹ IEX Letter at 1-2.

¹⁰ IEX Letter at 2; FIA Letter at 3.

increased hours for the SIPs would be borne by 24X and any other SROs involved in trading during those hours in accordance with the requirements set forth in the Equity Data Plans.

24X's proposal for 24x5 trading for the 24X Market Session also would address concerns raised about the effect of trading during the 24X Market Session on the settlement cycle for trades during those hours and the availability of DTCC. As trading would not occur on weekends and holidays, the 24X Market Session would not present new issues regarding extended settlement periods.

2. Equity Data Plans and Consolidated Market Data

Some commenters have raised issues regarding the commencement of trading during the 24X Market Session given the current inability of the Equity Data Plans to support such trading.¹¹ With Amendment No. 2 to its Form 1, 24X has fully addressed this concern. 24X will not commence trading during the 24X Market Session until the SIPs can accommodate trading during that period. Specifically, 24X has amended Proposed 24X Rule 1.5 to state the following:

For the avoidance of doubt, notwithstanding anything to the contrary in these Rules, the Exchange shall not commence operation of the 24X Market Session unless the Equity Data Plans¹² (1) have established a mechanism to collect, consolidate, process and disseminate quotation and transaction information at all times during the 24X Market Session that is equivalent to the mechanism established for Exchange Trading Hours other than the 24X Market Session, and (2) have provided the Exchange with notification that they are prepared to collect, consolidate, process and disseminate quotation and transaction information to accommodate the 24X Market Session. Prior to commencing operation during the 24X Market Session, the Exchange will file a proposed rule change pursuant to Section 19(b) of the Exchange Act and the rules thereunder to amend its rules confirming that the Exchange is able to comply with its obligations under the Exchange Act and the rules thereunder during the 24X Market Session and that such Equity Data Plans are prepared to collect, consolidate, process and disseminate quotation and transaction information at all times during the 24X Market Session ("24X Market Session Proposed Rule Change"). The 24X Market Session Proposed Rule Change must be filed with the SEC within 18 months of the SEC's approval of the Exchange's application for registration as a national securities exchange. If the 24X Market Session Proposed Rule Change is not filed within 18 months of the SEC's approval of the Exchange's application for registration as a

¹¹ IEX Letter at 1.

¹² 24X proposes to define "Equity Data Plans" to mean "the effective national market system plan(s) that govern the collection, consolidation, processing and dissemination of consolidated equity market data via the exclusive securities information processors ("SIPs"), including (1) Consolidated Tape Association Plan ("CTA Plan"), (2) Consolidated Quotation Plan ("CQ Plan"), (3) the Joint Self-Regulatory Organization Plan Governing the Collection, Consolidation and Dissemination of Quotation and Transaction Information for Nasdaq-Listed Securities Traded on Exchanges on an Unlisted Trading Privileges Basis ("UTP Plan"), and (4) any successor thereto to the named Plan(s)." Proposed 24X Rule 1.5(o).

national securities exchange, the Exchange will promptly file a proposed rule change to remove the rules that apply to the 24X Market Session.¹³

Proposed 24X Rule 11.16 regarding the 24X Market Session has been amended to further state that “[t]he Exchange will not commence operation of the 24X Market Session until a proposed rule change as required under 24X Rule 1.5(c) has been approved or become otherwise effective under Section 19(b) of the Exchange Act and the rules thereunder.” These changes address a central issue related to 24X’s Form 1 and should allow the Commission to approve 24X’s Form 1 expeditiously.

Notwithstanding these changes, 24X continues to believe that the 24X Market Session will provide investors with a substantial and important new trading opportunity. Commenters have agreed with the benefits offered by the 24X Market Session. For example, academics have concluded that “[o]ur recent research implies that 23/7 trading will likely improve the market’s allocative efficiency relative to the traditional 6.5/5 trading schedule.”¹⁴ Accordingly, 24X has been actively working with the Equity Data Plans to assist with the changes necessary to accommodate the 24X Market Session. 24X strongly encourages the Equity Data Plans to work expeditiously to modernize their infrastructure to accommodate the 24X Market Session in a timely fashion.

B. Technology Services Agreement with MEMX Technologies, LLC

24X proposes to enter into a technology services agreement with MEMX Technologies, LLC to license the technology underlying 24X. IEX has raised questions regarding the role of MEMX Technologies with regard to the Exchange and its compliance with the Exchange Act.¹⁵ 24X does not believe that such concerns have any merit. Contrary to IEX’s assertions, MEMX’s technology has a proven track record for resiliency, a track record that should give the SEC and market participants comfort regarding the reliability of 24X’s market offering. In addition, contrary to IEX’s assertions, the use of a common technology platform for multiple registered exchanges is a common practice. 24X understands that three existing exchange groups operate several independently-registered national securities exchanges using a common technology platform. This has not raised issues under the Exchange Act. Indeed, IEX’s arguments have already been substantively addressed by the Commission in its order recently approving a similar arrangement between MEMX Technologies and Long-Term Stock Exchange, Inc.¹⁶

C. Limitation of Liability

FIA asserts in its comment letter that 24X has not appropriately justified its proposed limitation of liability rule, Proposed 24X Rule 11.13.¹⁷ 24X continues to believe that its

¹³ Proposed 24X Rule 1.5(c) (definition of “24X Market Session”).

¹⁴ Blonien/Ober Letter at 1.

¹⁵ IEX Letter 2-3.

¹⁶ See Securities Exchange Act Release No. 100783 (August 20, 2024), 89 Fed. Reg. 68481 (August 26, 2024).

¹⁷ FIA Letter at 1-3.

proposed limitation of liability rule complies with the Exchange Act. The SEC has approved this rule for a number of exchanges, finding that it complies with the Exchange Act, and each of those exchanges continues to operate pursuant to that same rule.¹⁸ Accordingly, 24X believes that there is no basis for reaching a different conclusion in the context of 24X's Form 1 application.

D. Industry Engagement

FIA encourages the Commission “to confer with the industry through roundtables and other open forums and to withhold making any decision on the Application until such broader market engagement has taken place. We believe these novel issues are best addressed through thoughtful policy and rulemaking rather than through exemptions.”¹⁹ 24X emphasizes that its exchange application has been subject to public comment by the industry and others for the last eight months in accordance with the requirements of the Exchange Act. The industry has had ample time to consider this proposal and to provide its comments, and 24X has made a variety of changes to its application in response to such comments. The proposed change to 24x5 trading from 24x7 trading discussed in the second amendment to its Form 1 is one example of such a significant adaptation. Accordingly, 24X believes that its exchange application has been appropriately discussed with the industry.

E. Benefits of 24X Market Session

Commenters have questioned whether additional trading hours would provide new benefits to investors and the markets given the costs, and have suggested that, as result, the SEC should not approve the 24X Market Session. 24X disagrees with this analysis. 24X believes that there is substantial interest in expanded trading hours, and other commenters have agreed with that analysis.²⁰ The overnight trading activity on the Blue Ocean ATS, and the recent announcement by another national securities exchange of proposed extended overnight trading hours indicates that others see value in overnight trading as well. Accordingly, 24X urges the Commission to approve its exchange application to allow the markets to determine whether its innovative proposal will have market success.

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¹⁸ See, e.g., MEMX Rule 11.14

¹⁹ FIA Letter at 3.

²⁰ See, e.g., DriveWealth Letter at 1 (noting that “[t]rading 24 hours a day, on-exchange, represents an opportunity to strengthen U.S. leadership in capital markets”).

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We appreciate your attention to this matter. Please contact me at david@24exchange.com if you have any questions or comments.

Respectfully submitted,

/s/ David Sassoon

David Sassoon

General Counsel

24X National Exchange LLC

cc: David S. Shillman, SEC
Kelly Riley, SEC
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